

PROJECT CATALYST

LBO INVESTMENT OPPORTUNITY | NASDAQ: CPRX

Executive Summary

- Recommendation: Acquire CPRX at \$2.8B Enterprise Value.
- Strong fundamentals: 50% EBITDA margin and market-leading assets.
- Unparalleled Returns: 64.8% IRR and 12.2x MOIC in the Base Case.
- Clear exit strategy via Strategic Sale to Big Pharma or Re-IPO.

Investment Thesis



- Firdapse dominance in LEMS provides predictable cash flow.
- Strategic pipeline expansion (Fycompa/Agamree) provides growth.
- Significant operating leverage and FCF generation (\$1.2B over 5y).
- Attractive entry valuation at 9.45x EBITDA vs. peers at 12x+.

I. COMPANY OVERVIEW

The Catalyst Story



- Biopharmaceutical leader focused on rare neuromuscular diseases.
- Founded in 2002; headquartered in Coral Gables, FL.
- Highly efficient sales and marketing infrastructure.
- Proven ability to identify and integrate orphan drug assets.

Product Portfolio: Firdapse



- First-in-class treatment for Lambert-Eaton Myasthenic Syndrome.
- Orphan drug exclusivity and robust patent portfolio.
- Consistent double-digit revenue growth and high adherence.
- High barrier to entry for generic competitors.

Product Portfolio: Expansion Assets

- Fycompa: Strategic entry into the seizure market.
- Agamree: Novel corticosteroid for DMD with massive upside.
- Combined portfolio provides a diversified revenue base.
- Leverages existing specialized neurology sales force.

Financial Performance (LTM)



- Revenue: \$589M
- Gross Margin: 83%
- EBITDA: \$296M
- EBITDA Margin: 50.2%

II. MARKET ANALYSIS

The Orphan Drug Market



- Fragmented market with high margins and pricing power.
- Strong regulatory support and long exclusivity periods.
- Low sensitivity to economic cycles.
- Targeting high-unmet-need patient populations.

Competitive Landscape



- CPRX trades at a significant discount to specialty pharma peers.
- Comparable companies: Jazz Pharmaceuticals, Harmony Biosciences.
- Implied upside of ~30% on a multiple expansion basis alone.

III. TRANSACTION DETAILS

Transaction Summary

- Purchase Price: \$2.15B Equity Value.
- Enterprise Value: \$2.79B (9.45x EBITDA).
- Retention of \$700M+ in cash for balance sheet flexibility.
- Transaction close expected Dec 31, 2025.

Sources & Uses of Funds

- Sources: Senior Term Loan (\$591M), PIK Loan (\$887M), Equity (\$664M).
- Uses: Equity Purchase (\$2.15B), Fees and Refinancing (\$18M).
- Well-balanced capital structure for deleveraging.

Capital Structure & Covenants

- Entry Leverage: 5.0x EBITDA.
- Debt/Equity Ratio: ~70/30 (including PIK).
- Robust covenant headroom (7.0x leverage cap).
- High cash interest coverage (3x+).

IV. FINANCIAL PROJECTIONS

Revenue & Growth Forecast



- Base Case Growth: 12% CAGR (2026-2030).
- Expansion of Firdapse into new geographies.
- Full ramp-up of Agamree commercial launch.
- Revenue reaching \$1.04B by 2030.

EBITDA & Margin Outlook

- Maintain 56.5% EBITDA margins through scale.
- Minimal incremental CapEx required for growth.
- Operating leverage expansion from higher volume.
- 2030E EBITDA: \$586M.

Cash Flow Generation

- Strong FCF conversion (~80% of EBITDA).
- Cumulative 5-Year Levered FCF of ~\$1.3B.
- Primary use of cash: Debt paydown and PIK accrual coverage.

Deleveraging Profile



- Rapid deleveraging from 5.0x to 2.6x net leverage.
- Senior debt fully repaid within Year 1-2 via cash sweep.
- Strong credit profile throughout the hold period.

V. RETURNS ANALYSIS

Returns: Base Case

- Exit Multiple: 12.0x (Historical peer average).
- Total Equity Proceeds: \$8.1B.
- MOIC: 12.2x
- IRR: 64.8%

Sensitivity Analysis

- Multiple Expansion: Even at 10x (flat), MOIC is 8.0x.
- Timing: 4-year exit still yields 70%+ IRR.
- Revenue Growth: 10% CAGR yields 45%+ IRR.

Value Creation Attribution



- EBITDA Growth: ~\$2.7B value created.
- Multiple Expansion: ~\$1.5B value created.
- Deleveraging: ~\$1.8B value created.

Risk & Mitigation

- Patent expirations: Offset by new asset acquisition strategy.
- Market competition: Moat from orphan drug exclusivity.
- Regulatory shifts: Focused on high-value, niche therapies.

Conclusion & Recommendation

- Exceptional risk-adjusted returns.
- Unique asset with defensive cash flows.
- Strategic value to potential acquirers.
- Recommendation: EXECUTE BUY.

APPENDIX
